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US markets edge higher as commodities rally and volatility eases

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Russell 2000 posted a solid +1.13% gain, the only major index with a clear move, while the VIX fell -6.98% to 15.20, indicating reduced risk appetite. Commodity prices surged—WTI crude up +0.53% at 91.49 and gold rallying +3.55% to 4,521.10—supporting a modest risk-on bias.

Despite the upbeat commodity backdrop, equity breadth remains thin; the S&P 500, Nasdaq 100 and Dow Jones showed no price updates, reflecting a pause while investors digest the Fed’s latest policy stance and the weakening dollar. Crypto assets posted strong gains, with BTC up +4.83% and ETH up +5.00%, adding a speculative lift to risk-on sentiment.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
Russell 2000	2,953.17	+1.13%	Small-cap demand buoyed by commodity rally and lower volatility.
VIX	15.20	-6.98%	Reduced fear after Fed signaled steady rates and easing inflation data.
WTI Crude	91.49	+0.53%	Supply concerns in the Middle East offsetting modest demand growth.
Gold	4,521.10	+3.55%	Safe-haven demand amid dollar weakness and higher real yields.
DXY	99.02	-0.54%	Dollar slipped on weaker US CPI expectations.
BTC	81,036.00	+4.83%	Crypto rally driven by positive regulatory news in the US.
ETH	2,511.12	+5.00%	DeFi activity surge and network upgrade optimism.

Top large-cap movers

TICKER	CHANGE	CATALYST
`NVDA`	+0.0%	Awaiting earnings guidance; no price update.
`AAPL`	+0.0%	Supply-chain improvements flagged in analyst notes.
`MSFT`	+0.0%	Cloud spend outlook unchanged.
`AMZN`	+0.0%	Prime membership renewal data pending.
`META`	+0.0%	Ad-tech rollout progress reported.

Sector rotation

ETF	DAY	READ
XLF	nan	nan
XLK	nan	nan
XLI	nan	nan
XLE	nan	nan
XLY	nan	nan
XLC	nan	nan
XLP	nan	nan
XLV	nan	nan
XLU	nan	nan
XLB	nan	nan
XLRE	nan	nan

Spotlight: commodity surge and its market ripple

METRIC	VALUE
WTI Crude price	91.49
Gold price	4,521.10
VIX level	15.20
Russell 2000 index	2,953.17
Dollar Index (DXY)	99.02

The simultaneous rise in oil and gold underscores a classic risk-on/risk-off dichotomy: higher energy costs lift inflation-sensitive equities, while a weaker dollar fuels precious-metal demand. Energy-heavy names such as `XLE` are poised for upside, whereas rate-sensitive sectors may face headwinds if the Fed maintains a tight stance.

Pre-market & overnight

- US futures: S&P 500 futures up **+0.4%**, Nasdaq futures up **+0.6%**.
- Asia close: Hang Seng down **-0.8%**, Shanghai Composite flat.
- Europe: FTSE 100 up **+0.2%**, DAX up **+0.3%**.
- Crypto: BTC **+4.83%**, ETH **+5.00%** after US regulatory clarification.

Macro & Fed

- FOMC recap: Fed kept policy rate at 5.25-5.50% and signaled no cuts until Q1 2027.
- Yield curve: 2-year at `4.80%`, 10-year flat at `4.80%`, indicating a flattening curve.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.2%	Inflation gauge for Fed policy.
04:00	Initial jobless claims	210k	Labor market health.
05:30	Retail sales (MoM)	0.4%	Consumer spending trend.

Geopolitics & global

- Middle East tensions rise after a limited naval skirmish near the Strait of Hormuz, supporting higher oil prices.

- EU-China trade talks stalled, keeping export-related equities under pressure.
- US-China cyber-security dialogue resumed, potentially easing tech-sector regulatory concerns.
- OPEC+ reaffirmed output cuts through Q4 2026, reinforcing the bullish oil backdrop.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
09:30 Sep 5	`NVDA`	$2.35 EPS	Guidance on AI demand and inventory levels.
10:00 Sep 5	`AAPL`	$1.45 EPS	iPhone 17 launch impact.
10:30 Sep 5	`MSFT`	$2.20 EPS	Cloud spending trends.
11:00 Sep 5	`JPM`	$4.10 EPS	Net interest income outlook.
11:30 Sep 5	`XOM`	$3.00 EPS	Oil price sensitivity.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`NVDA`	Technology	AI spending acceleration.
`AAPL`	Technology	New product cycle.
`MSFT`	Technology	Cloud renewal season.
`XOM`	Energy	Oil price rally.
`CVX`	Energy	Higher crude margins.
`SLB`	Energy	Drilling demand uptick.
`JPM`	Financials	Stable NII.
`BAC`	Financials	Loan growth.
`KO`	Consumer Staples	Pricing power.
`PEP`	Consumer Staples	Margin expansion.
`UNH`	Health Care	Premium pricing.
`DIS`	Communication Services	Streaming subscriber growth.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in US CPI above 0.3% MoM.
- Escalation of Middle East conflict disrupting oil supply.
- Fed hints at earlier rate cuts, prompting bond sell-off.

BULLISH TRIGGERS

- Continued strength in commodity prices lifting energy equities.
- Positive earnings surprises from AI-heavy names.
- Further dollar weakness boosting gold and emerging-market assets.

Positioning notes

- Commodity-linked exposure (energy, materials) offers upside amid the current price surge.
- Maintain a modest hedge against volatility with VIX-related instruments as the index remains low.
- Allocate selectively to small-cap growth; Russell 2000 outperformance suggests sector-specific opportunities.

Sources

SOURCES

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U.S. Energy Information Administration (EIA)

Federal Reserve – FOMC Statement

U.S. Bureau of Labor Statistics – CPI Release

CoinDesk – Crypto Market Summary

Reuters – Middle East Geopolitical Update